

quoted in the papers and on TV and radio, your broker, newsletters, a golf buddy—is hammering on you to get on this or that bandwagon. It's time to buy high-tech or cyclical or brand-name growth stocks or utilities or Latin America or China. All too often you end up buying the hot sector at the peak of its cycle.

Too often people start with a discipline but abandon it.

If instead you develop a set of convictions you adhere to, you can turn your back on thousands of stocks and concentrate on a manageable universe. A set of guidelines—and I urge you to put them down on paper—gives you confidence when times are rough. It helps you make the toughest decisions: when to sell. It makes it possible to get better and better through cultivation of a repeated skill. And it keeps you from the folly of the amateur who leaps from fad to fad, usually just about the time the fad is fading.

But it has to be *your* strategy, what's right for you. Every singer must sing her own song.

Risk Is in the Eyes of the Beholder

The truth is, we all have an investment philosophy, even if we don't know it. In general, it was formed by the time we were out of sixth grade. Because the main question an investor has to ask himself or herself is, "What is my attitude toward risk?" And that probably hasn't changed since you were twelve years old.

That attitude is so ingrained and instinctive that if you try to do something contrary to it, you won't be comfortable, and why should